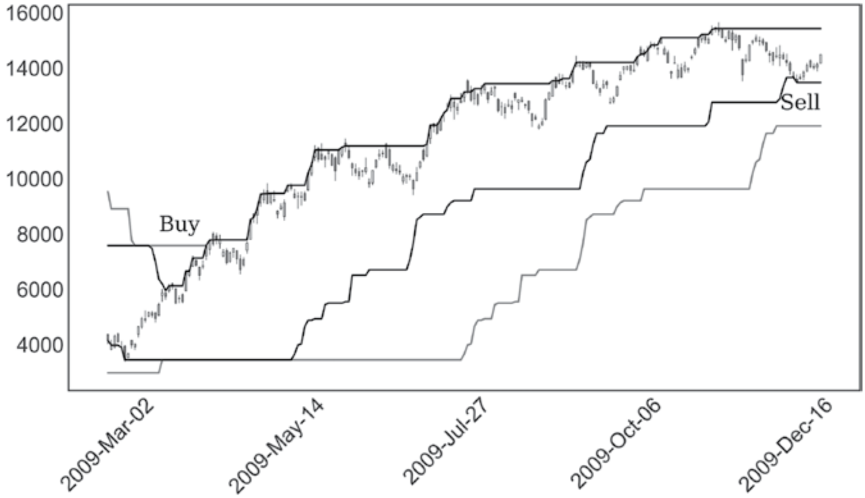

FIGURE 4.2 Standard breakout strategy.

it is better or worse than another strategy. To figure out which strategy is preferable over another, you need to look at various risk measurements but also study the equity curve of the strategy in detail to see whether it is something you can realistically live with or not. Some highly profitable strategies have very scary periods and if you cannot stomach them, you should find a different strategy that fits you and your investors.

The equity curve in Figure 4.3 tells us that both strategies seem to be profitable over longer time spans, but it is easy to fall into the trap of making premature assumptions. A simple visual inspection of such a long-term

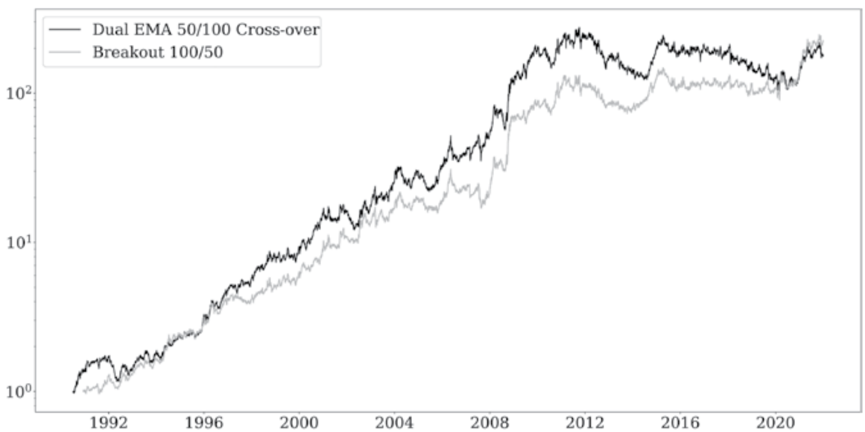

FIGURE 4.3 Moving average and breakout strategies.